

Standard Terms and Conditions of Quotation

1. General

- 1.1. This Quotation is issued subject to availability of material.
- 1.2. This Quotation is valid up to the validity date mentioned on the face of the Quotation unless extended. Generally the validity of delivery period shall not be extended. However, against request made by the customer under special circumstances, the Senior BM of concerned BSO/ In charge of HQ Sales can extend the validity of the Sales Order subject to the terms and conditions prescribed against such extension against the request made by the customer in writing and also as per the procedure laid down by the company, a copy of which can be had on request.
- 1.3. The quantity to be supplied is subject to +/- 5% variation unless otherwise specified.
- 1.4. For the terms and conditions specified in this Quotation, the interpretation given by the company, i.e., RINL shall be final and binding.
- 1.5. The customer shall get confirmation of availability of the material and also clearance from the Stockyard In-Charge before he places the vehicle for taking delivery of the material.
- 1.6. The company is not responsible for any dead freight, detention charges, demurrage charges in case of delay of loading and/or the company is not able to supply the material to the full capacity of the customer's vehicle.

2. Price

- 2.1. Unless otherwise specified, the prices indicated are provisional and prices ruling at the time of delivery will be applicable. Any variation in statutory levies shall be borne by the customer, where the Quotation is made inclusive of such levies.
- 2.2. The prices are for delivery Ex-works, Visakhapatnam, or stockyard or at conversion agents' works is indicated on the Quotation. Visakhapatnam Steel Plant reserves its right to service the order against this Quotation from any of its stockyard/conversion agent factory or from the [Plant at Visakhapatnam](#).
- 2.3. The prices quoted are exclusive of GST.
- 2.4. The customer who is entitled for any concessional rate of tax either under GST should furnish the necessary concessional declaration form along with the payment to issue Sales Order and charge GST accordingly in the invoice.
- 2.5. The amount indicated in the Quotation is inclusive of GST at the percentage specified over leaf under IGST/CGST/SGST/UGST as applicable. The concessional rate of tax if charged shall be against the declaration form issued by the customer in good faith that the customer is qualified for such concessional declaration rate of tax and the customer is authorized to issue such concessional form declaration. At a subsequent stage if it is found that the customer is not entitled for such concessional rate of GST the customer shall make good to the company the differential tax, penalties, if any, and interest on such amount as demanded by tax authorities under the relevant GST act. In case the customer fails to make good such amount to the company, the company shall have right to recover such amount from any other amounts available or by taking appropriate action under law.

3. Delivery:

- 3.1. Visakhapatnam Steel Plant shall make best efforts to meet the delivery schedule. However, the delivery schedule indicated in the Sales Order is tentative and may change depending on the production program of the company.
- 3.2. The delivery of the material will be made to the customer or to his authorized representative provided an application in writing is submitted to the company on all working days up to 5 PM. Also the original Sales Order is required to be produced to the Stockyard In-Charge before 3 PM of the day on which the delivery of the material is intended to take place.
- 3.3. The weight recorded as per Visakhapatnam Steel Plant's (VSP's) weigh bridge or the conversion agents' weigh bridge or any other weigh bridge arranged by the company shall be final unless otherwise specified.
- 3.4. The rates quoted are inclusive of delivery charges in to the customer's vehicle at the delivery place unless otherwise specified. In case materials have to bent, cut or bundled to facilitate loading in to the customer's transport, all charges there for shall be borne by the customer. The company is not responsible for any detention/ demurrage/wharfage etc. for delay during loading the materials in to the customer's vehicle for reasons beyond its control.
- 3.5. Generally, the delivery of material will be made for dispatch on Ex-road basis. In case the customer intends to take material by rail, the same can be dispatched on freight- to pay basis. The material can also be dispatched on prepaid basis, provided the customer deposits the freight amount in advance. However, the expenses for transportation and handling up to loading into wagon shall be borne by the customer. Company's responsibility ceases as soon as the material is handed over to Railways against RRs. The risk and reward is transferred to the customer from the date and time of issue of RR/Invoices.
- 3.6. The customer shall give clear dispatch instructions stating destination, Consignee, address to which RRS to be sent to and invoice to be sent to etc.

4. Payment Terms and Interest:

- 4.1. Payment should be made by way of Demand Draft/ Pay order in favor of "Rashtriya Ispat Nigam Limited - A/c xxxxxxxxxx (Name of the customer)" drawn on any scheduled bank payable locally. If DDs are issued from Co-operative banks, Sales order is issued only after realization of the DDs. Cheques can be accepted from the customers to whom cheque facility is sanctioned, subject to the terms and conditions of the facility.
- 4.2. In case the customer not covered under cheque facility is desirous to pay by cheque, the Sales Order shall be issued only after realization of the cheque amount. No outstation cheques shall be accepted by the company unless otherwise agreed in writing.
- 4.3. Normally, a Sales Order against a Quotation shall be issued only on receipt of payment. Customers enjoying credit facility from Visakhapatnam Steel Plant need to make financial arrangement as per the sanctioned credit facility for issue of Sales Order. Interest shall be charged for the interest bearing credit specified by VSP and at the rates in force from time to time. In case of delay in taking payments, IFC/IBC overdue interest at the rates as decided by RINL from time to time shall be charged beyond the due date till the date of realization. Wherever the material is delivered on credit, the company reserves its right on such material till all the payments are received as per the terms of this Quotation.

5. Quality Complaint & its settlement:

- 5.1. The customers shall lodge their quality complaint, if any, in writing to the Senior Branch Manager, at the address mentioned in the Quotation with a copy to DGM (Mktg)-CRM, Marketing Department, I floor, Administration Building, Visakhapatnam Steel Plant, Visakhapatnam-31 within 30 days from the date of dispatch. Prescribed form can be obtained from the branch, for speedy processing of the complaint. The complaint is to be lodged on line at www.vizagsteel.com. (On the Home page, please click on Marketing => Customer Relations => Quality Complaint System (QCS)).
- 5.2. The material shall be offered for inspection to the authorized representative of the company at a place where the goods were originally consigned. The quality complaint shall be settled by the company as per its standard procedure. The customer shall not deduct any amount pending settlement of quality complaint either against this Quotation or against any other contract or transaction under which the customer owes any amount to Visakhapatnam Steel Plant. Visakhapatnam Steel Plant shall undertake the responsibility for quality of the material where such sale is supported by a test certificate issued by the company or by their conversion agent unless otherwise the sale is on "AS IS WHERE IS" AND NO COMPLINT BASIS".

6. Other Terms and conditions:

- 6.1. Wherever the material offered under this letter is governed by a separate contract, the terms and conditions of such contract shall prevail over the terms and conditions mentioned in this Sales Order to the extent of contradiction between the two.
- 6.2. Any disputes with regard to the sale of material covered under this Quotation are subject to the jurisdiction of Visakhapatnam courts or subject to the jurisdiction of the concerned courts of the branch from where this Quotation is issued.
- 6.3. This Quotation is subject to the force majeure clause which is as follows:

If at any time during the continuance of sales against this Quotation the performance in whole or in part by either party of any obligation under this contract shall be prevented or delayed by reasons of any war, hostility, acts of public enemy, civilian commotion, sabotage, fire, floods, explosions, epidemics, quarantine restriction, or acts of god (here in after referred to as "eventualities") and provided notice of the happening of any such eventuality is given by either party to the other, within 21 days from the date of occurrence thereof, neither party shall by reasons of such eventuality be entitled to terminate the contract nor shall either party have any claim for damages against the other in respect of such non performance or delay in performance. Sales against this Quotation shall be resumed as soon as practicable after such eventuality has come to an end or ceased to exist".

All disputes or differences what so ever arising between the parties out of or relating to this Quotation shall be settled by arbitration in accordance with the provisions of the Arbitration and Conciliation act, 1996 and the award made in pursuance thereof shall be binding on the parties. The arbitration bench shall make a reasoned award. The venue of arbitration shall be Visakhapatnam or any other place as decided by the company. The sales against this Quotation shall be continued during arbitration proceedings unless the matter is such that the sales cannot possibly be continued until the decision of the arbitrators is obtained and save as those which are otherwise expressly provided in the contract, no payment due to the company shall be withheld on account of such arbitration proceedings, unless it is the subject matter or one of the subject matters thereof. Arbitration is governed by the provisions of Arbitration and Conciliation act, 1996 and the rules made there under.

7. Sales Order closure & settlement:

- 7.1. The customer's vehicle is allowed to go out of the stockyard/plant on submission of copy of DC cum Invoice with due acknowledgement for receipt of material and surrender of the pass issued for purpose of allowing the vehicle inside the stockyard/plant.
- 7.3. The company shall not pay any interest, damages (including liquidated risk purchase) etc for non delivery of material for the reasons beyond its control.